

How to Read a DCF Model (And How to Tell if It's Realistic)

Written by Harshvardhan Pandey

A Discounted Cash Flow (DCF) model is mathematically perfect, but structurally fragile. The work is only half done when the Excel formulas are balancing!

The true art of a DCF is taking a completed valuation and immediately knowing if the implied share price is built on rock-solid operational assumptions or if it is a highly speculative house of cards. An integrated DCF model is not just an arbitrary calculator to find a stock price; it is a stress test of a company's future reality.

In this guide, I'll take you through the main levers of my DCF framework, what to look for, and what it means when an assumption is being pushed too far.

1. The Cash Flow Bridge: Where Does the Value Come From?

The first thing you should look at on the **DCF Valuation** sheet is the walk-down from EBITDA to Free Cash Flow to Firm (FCFF). This tells you how efficient the company is at turning operating profit into actual, distributable cash.

- **High EBITDA but Low FCFF:** If a company shows \$100M in EBITDA but only \$20M in Free Cash Flow, look immediately at **Capital Expenditures (CapEx)** and **Working Capital**. This indicates a highly capital-intensive business. They are being forced to reinvest massive amounts of cash just to sustain their current operations, leaving very little actual value for shareholders.
- **FCFF closely tracking EBITDA:** This is the hallmark of a capital-light compounder (often software or service businesses). They don't need to build new factories or trap cash in inventory to grow, meaning almost all their operating profit flows directly to the bottom line.

2. The Capital Structure Check: Is the WACC Moving?

Go to the **WACC** (Weighted Average Cost of Capital) sheet. The discount rate determines how severely we penalize future cash flows for risk.

- **Static WACC in a Deleveraging Model:** If the company is aggressively paying down debt in the Support schedules, but the WACC stays completely flat, the model is theoretically broken. As a company pays off debt, its financial risk decreases.
- **My Model's Advantage:** My framework dynamically recalculates the WACC year-by-year. If you see the WACC drifting up or down across the projection period, it means the model is accurately capturing the changing capital structure and the shifting tax shields of the business.

3. The Reinvestment Reality: CapEx vs. D&A Terminal Convergence

Look at the final projection year (e.g., Year 5) on the **Support** sheet. Compare the Capital Expenditures (CapEx) to Depreciation & Amortization (D&A).

- **CapEx Substantially Higher Than D&A in Year 5:** This is a major red flag. By the terminal year, the model assumes the company has reached a "steady state" of mature growth. A mature company cannot permanently sink significantly more cash into CapEx than it depreciates without accumulating massive, underutilized asset bases.
- **CapEx Converging with D&A:** This is what a realistic model looks like. As the high-growth phase ends, CapEx should scale down to roughly match D&A, signaling that the company is transitioning from "hyper-expansion" to "maintenance mode."

4. The Terminal Value Trap: How Much is Guesswork?

Look at the **Live Valuation Summary** on the Cover sheet. Pay close attention to the **TV as % of EV** metric. This tells you what percentage of your total valuation comes from the Terminal Value (cash flows from Year 6 to infinity).

- **TV is > 80% of Enterprise Value:** You are no longer valuing the business today; you are entirely speculating on what the world will look like in a decade. This valuation is highly sensitive to minor changes and should be treated with extreme caution.
- **TV is < 70% of Enterprise Value:** This is a much healthier, robust valuation. It means a significant portion of the company's value is being driven by the visible, near-term cash flows of the next 5 years, rather than distant promises.

5. The Perpetuity Growth "Sanity Check"

This is the ultimate trapdoor in valuation. On the **DCF Valuation** sheet, look at the implied perpetuity growth check below the Exit Multiple calculations.

- **The Danger of Multiples:** Analysts often lazily assume an exit multiple (e.g., 10x EBITDA) because it "looks right" compared to peers. But every multiple implies a permanent, perpetual growth rate.

- **The Warning Trigger:** My model reverse-engineers the exit multiple to find its implied growth rate. If that implied rate exceeds long-term global macroeconomic GDP growth (typically 2% - 3%), the model flashes a **⚠ WARNING**. If the implied rate is 5%, your model is mathematically assuming that this single company will eventually grow to swallow the entire global economy. If you see this warning, you *must* lower your exit multiple.

Summary Checklist for Reading My DCF Model:

1. **Check the Conversion:** Is EBITDA actually turning into Free Cash Flow, or is it being eaten by CapEx and Working Capital?
2. **Verify the Risk Profile:** Is the WACC dynamically adjusting as the company pays down debt over the 5-year period?
3. **Check the Steady State:** By Year 5, is CapEx converging with Depreciation, or is the company unrealistically modeling infinite heavy expansion?
4. **Look at the Valuation Weight:** Is the Terminal Value making up more than 80% of the Enterprise Value?
5. **Heed the Warnings:** Did the Exit Multiple trigger the Implied Perpetuity Growth warning? If it implies growth faster than GDP, the valuation is a house of cards.

By using my DCF model, you stop treating valuation as a black box of formulas and start testing the actual economic gravity of your assumptions.